MONTHLY UPDATE

Ethiopia: monthly update, July – August 2026

Edition of 2026-08-25-2 · 49 systems and instruments tracked

Developments summarised from sources published between the beginning of last month and today.

Summary of the month

Ethio Telecom's FY2025/26 figures put it at 69% of all national identity registrations, at 60.6m mobile-money users moving about 11bn Birr a day, and at 90.1m subscribers on 99.8% coverage. A single vertically integrated state incumbent now supplies the identity enrolment, the payments rail and the network beneath both.

At the launch of a three-year plan, regional executives told federal management that the one-stop service platform is absorbing services that were never digitised, that two incompatible integration models have emerged, and that no legal framework compels an institution to digitise before joining.

The central bank widened its virtual-asset prohibition by clarification rather than by new rule. The payment-gateway sector continued to be taxed on an arithmetic error the same bank has admitted and corrected, with no effect on the assessment.

Governance

Strategies, plans and policies

A National Digital Transformation Council meeting on 30 July restated that the programme is to be judged on lives changed rather than systems deployed — a measurement claim with no published measure behind it.

Legislation and regulation

On 23 July the central bank issued a public notice stating that use, sale, transfer, settlement and facilitation of virtual assets are prohibited unless expressly authorised, and that the prohibition was never confined to cryptocurrencies. No new regulation and no enforcement mechanism accompanied it: the instrument is a notice restating scope, not a rule.

On 25 July the payment-gateway tax case was set out in full. The central bank, compiling processing data for a revenue audit, conflated gross transaction volume with gateway revenue — restating one gateway's three-year throughput of ETB 32bn as ETB 143.9bn and taxing the difference at 30%, where gateways in fact earn about 2.5% commission. Corrected datasets issued by letter in April 2026 and verified by a governor's technical committee were not accepted; ETB 818m was swept from frozen accounts in May against a liability counsel puts at ETB 20–30m, with parallel sweeps against two other gateways, and the justice ministry declined to intervene on the ground that no administrative body can reverse a revenue decision.

Three instruments moved in the window and none binds yet. The Critical Infrastructure Cybersecurity Proclamation was signed by the President at Addis Ababa on 21 July, designating twelve critical sectors, placing eighteen core obligations on owners and operators and creating a cybersecurity fund, with commencement set one year after gazettement — about July 2027 — and regulation-making powers left to the Council of Ministers and the security agency. On copyright, a draft ratification proclamation for the Berne Convention went to the Council of Ministers, and a separate amendment to the 2004 copyright proclamation is being drafted with a university law school to add internet service provider duties, site-blocking procedures and a rights-holder take-down notice. Ethiopia is not yet a party to the convention and neither draft has a published text.

Data protection

The Development Bank adopted an information disclosure policy classifying client credit information permanently non-disclosable, alongside legal case files, strategy papers, security protocols and third-party contracts, where disclosure could cause substantial harm to the Bank, its stakeholders or the national interest. The Bank may also decline a request that would require it to create a record it does not already hold. No instrument number, gazette reference or appeal mechanism is stated.

Regional collaboration

The regional transit corridor moved from agreement to build. Ethio telecom entered active deployment of the Horizon Fiber Initiative, with end-to-end solution architecture finalised and site-material procurement complete, on a multi-terabit terrestrial route linking Djibouti's subsea landings through Ethiopia and Sudan to Jeddah. No route length, capacity, cost, in-service date or transit-revenue projection is published, so the regional-hub claim rests on the geography alone — and one of the four territories the route crosses is at war.

Standards

National livestock data standards were endorsed and cascaded on 29 July on a training-of-trainers model, with more than 300 experts and data collectors trained. The national identity credential is separately described as the flagship deployment of the open-source identity platform it is built on and the reference implementation others point to.

Finance

Domestic budget appropriations and expenditure

Parliament ratified a 2.34 trillion birr federal budget for FY2026/27 on 7 July, up 21.3% on the year before, carrying ETB 9,049,102,733 of identifiable digital lines against ETB 3,754,558,918 the previous year and ETB 1,206,492,295 the year before that.

Two caveats the budget documents support. The FY2024/25 to FY2025/26 rise is mostly the birr float following the move to a floating exchange rate, not fiscal expansion. And the FY2026/27 total is dominated by the single AI university line, so the underlying operating envelope for digital government grew far less than the headline.

No execution data has been published for the whole of FY2025/26, and no audit is available for any year in scope — so a budget that has grown roughly sevenfold in nominal terms across three years cannot be checked against what was actually spent.

New investments

A US$300,000 grant was committed on 31 July for 2026 to 2028, converting a catalytic start-up initiative into a longer programme delivering agricultural extension services through digital channels.

ICT Infrastructure

Connectivity

The incumbent closed its financial year with data and internet at 31.1% of revenue against mobile voice at 23.5% — the first year in which voice was not the largest share — on 215.8bn Birr of revenue and 92.9bn Birr of operating profit, the operator's own unaudited figures. Build-out continued underneath it: a progress review on 10 August put 879 sites completed under one vendor programme and 4G population coverage at 92%, a figure scoped to that vendor's own footprint and not reconciled against the 95.5% national coverage claimed for the wider contract set. The second licensee reported 14.7 million ninety-day active customers at 30 June, against a target of positive earnings by March 2027.

Data Storage

Ethiopia is named among the markets diversifying Africa's data-centre estate alongside Nigeria, Kenya, Egypt, Ghana and Morocco, against South Africa's 60%-plus share of operational capacity. No Ethiopian site, capacity or investment figure accompanies the naming.

Energy

The incumbent's renewable programme reached 39.72 MW of installed solar across 190 fully solar-powered sites, 867 hybrid systems and 1,114 lithium-ion storage units, 12.72 MW of it added over the financial year, with diesel generator running time down by up to 40%. The figures are the operator's own and unaudited.

DPI

Data Exchange

At the 24 July launch of a three-year strategic plan, the same meeting disclosed that a prime-ministerial board has approved a national data exchange platform — the interoperability layer the same meeting identified as missing.

Digital Identity and CRVS

The identity programme supplied most of the month's movement: a joint venture with Safaricom and a local partner on 6 July to run mass registration across seven regions, and, on 24 July, the operator's own disclosure that it accounts for 69% of all registrations, with more than 4m farmers enrolled through the agriculture ministry and more than 28,000 displaced people through humanitarian partners.

At the same 24 July launch of a three-year strategic plan, its deputy director in the capital named premature integration as the year's main obstacle and its founding director general conceded the platform remains intertwined with decades-old institutional systems of undefined standards. The identity layer meanwhile acquired a corporate owner: the Faydaverse digital-public-infrastructure enterprise was inaugurated on 4 August as a state-owned enterprise under Ethiopian Investment Holdings, on a platform reported at over 190 million authentications performed and 150 enterprises integrated for biometric checks. No governing instrument, board or commercial model for the enterprise is published.

Four days later that enterprise set out where the credential goes next. Its wallet is to carry academic transcripts, professional licences, healthcare records, property titles and financial-compliance and know-your-customer data beyond the core government credentials it holds today, and the enterprise says it is exporting identity services as an implementation partner in Mozambique and Zambia. The plan and the export claims are its own; no timetable, consent model, data-controller arrangement or regulatory approval for the additional credential types is stated.

Enrolment passed a further mark at the close of the period. The programme put registrations at 49.1m on 24 August, on 12,000 biometric registration kits deployed and 150 agencies integrated, with more than 194m eKYC verifications performed against the register. The counts are the programme's own and unaudited, and the prime-ministerial expectation that the credential will contribute 7% of GDP by 2030 is stated alongside them as a projection rather than a measurement. The reporting outlet's "90 million by 2027" is its own framing: the programme's target is 90m by 2028.

What is not on the record is the counterweight. A published critique argues the system risks becoming an instrument of mass profiling in the absence of independent data-protection impact assessments, meaningful citizen rights and legal limits on state access, against the registrations above, up from 16.4m in June 2025, and a 90m target. The base holds no such assessment, no redress mechanism and no statutory access limit, and that absence is now recorded as a gap.

Digital Payments and Fintech

Payments extended into utilities and tax. Prepaid electricity purchase entered the mobile-money super app on 29 July for smart-meter customers, and a digital tax-payment service for one regional revenue bureau launched on 28 July as the first of a planned series.

The market also drew a new foreign supplier. A South African financial-technology firm entered the Ethiopian payments market with a local engineering partner on 17 August, aligning onboarding, fraud-management and workflow-automation tools with the National Digital Payments Strategy 2026-2030. No commitment value, customer or deployment date is disclosed.

Sectoral management information systems

A livestock information system went live on 29 July, drawing on five priority databases and repositioning animal identification from an export tool to a national asset register — broadened from feedlots to farm level and linked to disease surveillance and vaccination records. The account is the implementer's own, written after four years with a team embedded in the ministry, and is uncorroborated here. A system that has been running far longer got its evaluation: a journal study published on 10 August puts a community HIV case-management application in the hands of 950 health workers, with the time to reach case data down from a month to a day and data completeness near 100%. Ninety-two per cent of mobile accounts and 94% of web accounts were actively used. The figures are the study's and cover deployment since 2017; no national coverage figure or cost is given.

Other GovTech and e-Gov

The unified public-service platform launched with 185 services against 41 across twelve federal agencies a year earlier, anchored on the national identity credential. An account of 13 August puts the platform at more than 2,200 services, on the occasion of a Beninese benchmarking visit; the base cannot reconcile that with the launch count two months earlier and the two may rest on different counting bases. Its own regional executives say services are being onboarded before the systems beneath them are digitised, that two incompatible integration models have emerged, that no legal framework compels an institution to digitise before joining, and that the platform ran close to a year with no dedicated regulatory framework. Separately the Auditor General's annual report, presented on 6 July, credits electronic procurement with the decline in cash shortages across 163 audited federal institutions while finding budget-execution gaps, billions of Birr uncollected and repeated financial-rule violations alongside the digital adoption. No Birr amount is attached to the credit, and the report itself is not held.

Digitalisation

Digitalisation of sub-national government

Addis Ababa reports eleven one-stop centres carrying more than 150 services from over 25 integrated institutions at the close of its fiscal year — the base's first evidence on the subnational tier. The figures are the centre's director general's, given to the city administration's own media network, with no transaction volumes, users served, cost, uptime or independent evaluation published.

Technology

AI

AI service bundles from an Ethiopian firm went on sale inside the same app on 22 July, bought with mobile money and redeemed by SMS voucher.

ICT Industry

The change of control over the second network operator's parent completed on 30 June, and the Ethiopian regulatory approval for it is not on the record. Separately an Addis Ababa engineering services firm founded in 2021 was profiled, the base's only named domestic firm in this class.

Capacity

Research institutions

The FY2026/27 federal budget ratified on 7 July carries *Artificial Intelligence University Construction* as a single named capital project at ETB 5,000,000,000 — domestic money, appropriated rather than pledged, and large enough to dominate the year's digital total on its own. A national AI policy was adopted in 2024 and the AI institute has operated since 2020.

Nothing moved on the national AI policy itself, on the model-development side, or on which foundation models the country runs.

Inclusion

Access to services

The same coverage recorded the device side: bank financing deals targeting up to two million smartphones a year to low-income citizens on instalment plans.

Digital divides

A refugee-inclusion framework launched 16 July made the credential central to a state-led model for 1.1m refugees and 2m internally displaced people.

Geopolitics

China activities

Ethio Telecom and Huawei were reported on 15 and 17 July to be widening a network-equipment relationship into cloud, AI, cybersecurity, IoT, data-centre services and digital platforms for enterprises and small businesses, with mobile-money integration for payments and e-commerce. It is explicitly scoping rather than an executed agreement, and no value or term is disclosed. The vendor that supplies the radio network would supply the enterprise cloud and AI layer above it.

A separate data-centre track with Inspur and Shandong was reported on 16 July.

Nothing moved on the third-operator question, on satellite licensing, or on the fibre corridor whose binding agreement was February's news.

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